paribus) in Economics makes the Economic laws hypothetical. It might be argued that the laws in other sciences can also be called hypothetical. It should be admitted however that in the case of Economics, the hypothetical elements in its laws are a little less pronounced than in the laws of physical sciences.

But since money is used as the measuring rod, laws in economics are more exact, precise and accurate than the other social sciences. As the value of the measuring- rod money is not constant, there is always an hypothetical element surrounding the laws of Economics.

Some economic laws are simply truisms. For example, saving is a function of income. Another example of truism is: human wants are unlimited.

1.7 Economics: Its Sub Divisions

Economics has been divided into some branches.

1.7.1 Consumption

Human wants coming under consumption is the starting point of economic activity. In this section the characteristics of human wants based on the behaviour of the consumer, the diminishing marginal utility and consumer's surplus are dealt with.

1.7.2 Production

Production is the process of transformation of inputs into output. This division covers the characteristics and role of the factors of production namely Land, Labour, Capital and Organization and also the relationship between inputs and output.

1.7.3 Exchange

Exchange is concerned with price determination in different market forms. This division covers trade and commerce. Consumption is possible only if the produced commodity is placed in the hands of the consumer.

1.7.4 Distribution

Production is the result of the coordination of factors of production. Since a commodity is produced with the efforts of land, labour, capital and organization, the produced wealth has to be distributed among the cooperating factors. The reward for factors of production is studied in this division under rent, wages, interest and profit. Distribution studies about the pricing of factors of production.

1.8 Economics: Its Types

Economics is a rapidly growing subject and its horizon has been expanding. The basic thrust of the subject is that there should be efficient allocation of the available scarce resources to obtain maximum welfare to the people on a sustainable basis. Given below are some of the major branches of the subject, where such efficient resource allocation is made.

1.8.1 Micro-economics

Micro Economics is the study of the economic actions of individual units say

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